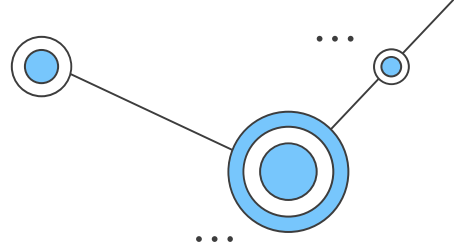


Cost affecting factors



Cost affecting factors



Subscription type

Free trial

Pay-as-you-go

Enterprise Agreement

Resource type

Free resources

Consumption model

Usage

Usage metrics: How many operations, how much time, how much storage?

Configuration

How much CPU? OS type? Redundancy options?

Region

Different prices depending on region

Reserved capacity

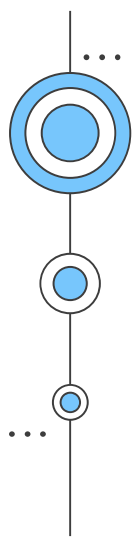
Discounts for 1-year, 3-year reservations for VMs

Bandwidth

Free: Inbound
Within same region

Not free: Outbound
Across different regions

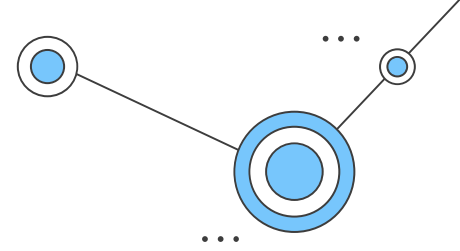




Pricing calculator



Pricing calculator



Calculate cost estimation for a planned project in Azure

Estimates

Subscription type

Resource type

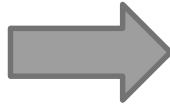
Usage

Configuration

Region

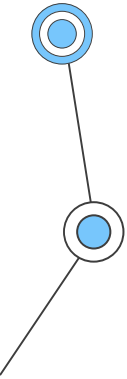
Reserved capacity

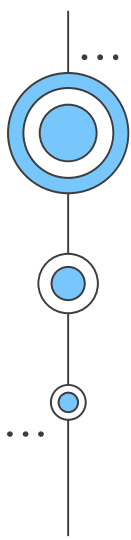
Bandwidth



**Monthly or hourly
cost estimates**

Cost estimation tool





Total cost of ownership calculator

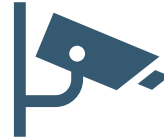
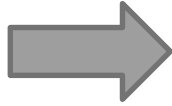


Total cost of ownership calculator (TCO)

Calculates the **total cost of ownership & cost savings**



On-premises

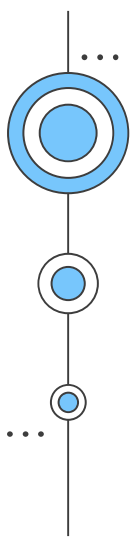


All costs combined



Saving potential

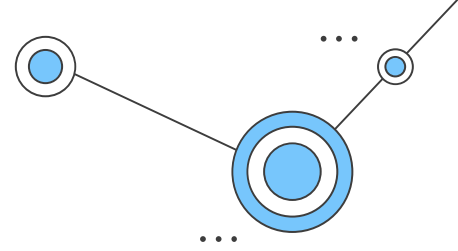
when migrating to the Azure cloud



Cost Management and Billing tool

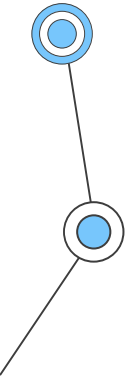


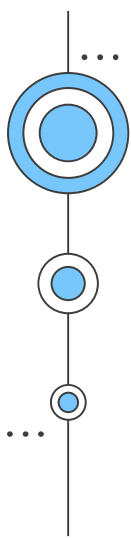
Cost Management and Billing tool



Manage cost and usage of resources

- Breakdown of costs over time and by resources
- Analyze costs
- Set budgets and alerts
- See invoices
- Manage billing options

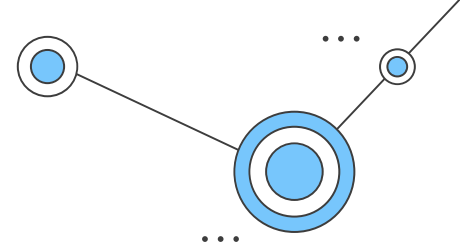




Reducing costs



Reducing costs



Reserved instances

- Discounts on reservation options
- Paying upfront for 1-year or 3-years

Spot pricing

- Bid for available capacity
- Deep discounts
- Instances can be interrupted without prior notice

Hybrid Benefit

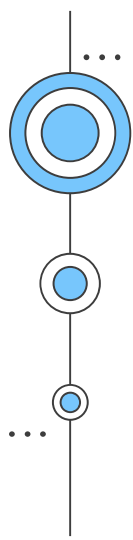
- If you already have on-premises license you can use it in the cloud
- Choose cost-effective OS

Delete unused resources

Deallocate VMs when not used

Migrate from IaaS to PaaS

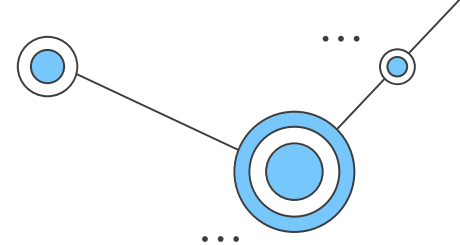




Tags



Tags



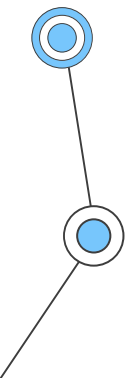
How can we categorize resources?

- By using resource groups

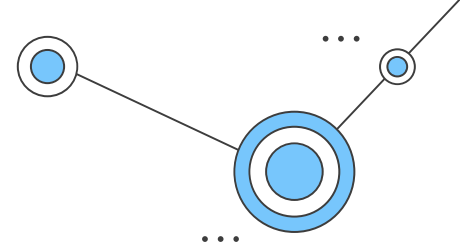


- Using **tags**

Department	Finance	Reporting	Marketing
Cost Center	1002	1003	
Environment	Dev/Test	Prod	
Site	USA	India	Germany



Tags



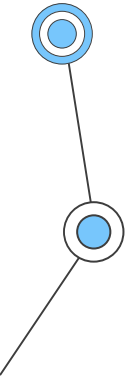
How can we categorize resources?

- Using **tags**

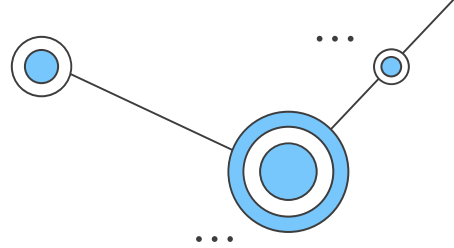
Most typically used for billing purposes!

Resources can be filtered by tags

Name	Values		
Department	Finance	Reporting	Marketing
Cost Center	1002	1003	
Environment	Dev/Test	Prod	
Site	USA	India	Germany



Tags



Tags are labels

- *Name - value* pairs that can be applied to resources

Group and categorize

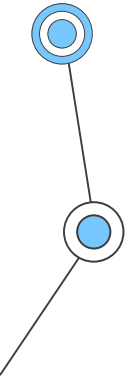
- Important for *cost and billing*

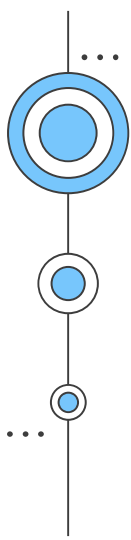
Not inherited!

- Tags are not inherited through hierarchy

Can be enforced

- Certain tags can be set to mandatory by Azure Policies





Summary



Summary

Cost factors

Subscription type, resource type, configuration, usage metrics, region, reserved capacity, license discounts, bandwidth

bandwidth: inbound & within region free
 outbound & inter-region not free

Cost saving options

Reserved instances

Hybrid benefit (license from on-premises)

Spot pricing

Delete unused resources, deallocate (stop) VMs

Migrate from IaaS to PaaS

Pricing calculator

Cost estimation tool to estimate cost for resources

TOC calculator

Calculates the total cost of ownership & cost savings when migrating to the Azure cloud

Tags

Labels to categorize resources

Important for cost and billing

Will not be inherited

Can be enforced by Policies